

Approval Policy

Document ID: POL-AP-001 | Effective Date: January 1, 2025 | Policy Owner: Credit Approval & Governance

1. Purpose and Scope

This policy defines the approval workflow and authority levels required to originate a consumer loan, including which applications are eligible for automated approval versus manual underwriter review.

2. Auto-Approval Eligibility

An application is eligible for fully automated approval when ALL of the following conditions are met:

- Predicted probability of default (PD) from the credit risk model is 15% or lower
- Risk Grade (POL-RK-001) is A, B, or C
- FICO score is 660 or higher
- DTI ratio is 43% or lower
- No open exceptions or manual flags on the application

Applications meeting all criteria are approved without underwriter review. All other applications require at least Tier 1 underwriter review as described in Section 3.

3. Underwriter Authority Levels

Tier	Authority	Applies To
Tier 1 Underwriter	Approve up to \$25,000, PD up to 25%	Standard applications not eligible for auto-approval
Senior Underwriter	Approve up to \$75,000, PD up to 35%	DTI 43-50%, Risk Grade D-E, or amounts above Tier 1 limit
Credit Committee	Approve any amount or PD	Risk Grade F-G, PD above 35%, or any approved exception under POL-

4. Mandatory Manual Review Triggers

Regardless of PD score or Risk Grade, an application must be routed to manual underwriter review if any of the following are present:

- Applicant is using the Alternative Documentation Program
- Applicant is using the Alternative Credit Data Program
- Application requests an exception under POL-EX-001
- Collateral valuation is more than 90 days old (secured products)

- Fraud model flags the application for review

5. Adverse Action

Any decline decision must generate an adverse action notice citing the principal reasons for decline, derived from the top model risk drivers, in compliance with applicable fair lending and disclosure regulations.